

Modified time of supply for GST [¶32-026]

[¶32-026]

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Modified time of supply

The general time of supply rule is modified for certain supplies. The following supplies have their own rules for determining the time of supply:

Associated supplies — s [9\(2\)\(a\)](#)

Where a registered person makes a supply to an associated person, eg a child or spouse of that person, the time of supply will generally be when the service is performed or when goods are removed or made available.

Coin- or token-operated devices — s [9\(2\)\(f\)](#)

The time of supply is the date that the coins are emptied from the machine by or on behalf of the supplier.

Entertainment expenditure — s [21\(4\)](#)

The GST time of supply for entertainment expenditure is the earlier of the date the income tax return is due (including any extension of time arrangements) or is filed.

Fringe benefits — s [21\(3\)](#)

The time of supply of a fringe benefit is the time that the benefit is (or is deemed to be) provided.

Games of chance, instant games, lotteries and prize competitions, games in casino premises — s [9\(2\)\(e\)](#), [\(g\)](#)

Time of supply will usually be the date on which the first drawing of the lottery or other draw is made. For games that are conducted in casino premises, time of supply will be the time that the Casino count takes place.

QWBA, [QB 14/13](#): “Goods and Services Tax — Lotteries, raffles, sweepstakes and prize competitions” explains the GST rules and how to account for GST on the proceeds from lotteries, raffles, sweepstakes or prize competitions.

Hire agreements and periodic payments — s [9\(3\)\(a\)](#), [\(c\)](#)

Special rules apply if goods are supplied under an agreement to hire other than a hire purchase agreement (eg a lease or rental) or if services are supplied under an agreement or enactment that provides for periodic payments. There is deemed to be a separate supply when each periodic payment is due. The time of supply for each successive supply is the earlier of the date the payment is due or received. An invoice-based supplier has to return output tax at that time. A payments-based person is required to return output tax only to the extent that any such payment is received. See further at [¶32-078](#) and [¶32-080](#).

Example:

An agreement for cleaning services provides that the price, which includes \$500 GST, is to be paid by 5 equal instalments. Output tax of \$100 is to be returned by an invoice-based supplier when each instalment falls due (or any earlier payment date). A payments-based supplier needs to account for output tax only when and to the extent that payment is made.

An “agreement to hire” is an agreement for the bailment of goods for hire and includes a lease of goods and a rental agreement, but does not include an agreement under which the property in the goods passes to the bailee or that expressly contemplates that the property in the goods will pass to the bailee. It also does not include a hire purchase agreement. Finance leases will usually constitute an agreement to hire so long as there is no agreement that ownership of the goods will pass to the lessee at the end of the lease.

Interpretation statement, [IS 22/02](#), “GST and finance leases” explains how to classify finance leases for the purposes of the time of supply and value of supply rules. It also explains how to account for GST on finance leases when applying any special time and value of supply rules. For the GST treatment, including time of supply, for finance leases, see [¶32-648](#).

Hire purchase agreements — s [9\(3\)\(b\)](#)

Goods and services supplied under a hire purchase agreement are deemed to be supplied at the time at which the agreement is made. Output tax is to be accounted for, and input tax entitlements arise, at that time, irrespective of whether the registered person is registered on an invoice basis or a payments basis. GST is calculated on the “cash” price (ie the price excluding interest and other financial charges).

Example:

A GST-registered retailer sells a vacuum cleaner to a customer on hire purchase. The retailer must account for output tax on the full purchase price (exclusive of interest and finance charges) when the hire purchase agreement is entered into.

For GST purposes, a “hire purchase agreement” has the same meaning as defined in s YA 1 of the IT07 ([¶6-740](#)) and also includes any agreement in which the property that is the subject of the agreement is livestock or bloodstock.

Imported services — s [9\(2\)\(h\)](#)

Under the reverse charge rules ([¶32-410](#)), a registered person that imports services for a taxable purpose, but later applies those services for a non-taxable purpose, is treated as supplying those services to themselves on the last day of the adjustment period that their non-taxable use becomes greater than 5%.

Layby sales — s [9\(2\)\(c\)](#)

The time of supply is when title passes to the recipient, ie when the goods are collected. In the event the sale is cancelled and the seller retains or recovers any money, the time of supply of the amount retained or recovered is the cancellation date.

Loyalty programme operators — s [9\(9\)](#), [\(10\)](#)

Certain loyalty programme operators are allowed to defer the imposition of GST on a sale of loyalty points to another person until such time that the loyalty points are redeemed for reward. Certain requirements must be satisfied before a loyalty programme operator can defer the imposition of GST under s [9\(9\)](#). Section [9\(10\)](#) provides that rules allowing deferral of GST on loyalty points until the loyalty points are redeemed apply when the GST “reverse charge” rules treat the New Zealand resident purchaser of the loyalty points as supplying the points.

These rules apply to those providers of listed services too. “Listed services” are defined in s [8C\(2\)](#) and include supply of accommodation services and transport services in New Zealand, like ride-share and food delivery services.

Private and exempt use of commodities

Where goods and services that are usually part of a taxable activity are applied for private or exempt purposes, the supply is deemed to be made on the date the goods and services are so applied ([132-088](#)).

Progress payments for building or an engineering work and for goods supplied progressively — s [9\(3\)\(aa\)](#)

Time of supply will be the earlier of the time a progress payment is made, is due or an invoice is issued in respect of the progress payment. This rule applies where goods are supplied progressively under an agreement that provides for periodic payments or where goods and services are so supplied directly in the construction, major reconstruction, manufacture, or extension of a building or an engineering work. Typically work will be paid for by instalments in direct connection to progress of the work.

Public authorities — s [9\(7\)](#)

A public authority is deemed to have made a supply where an amount is brought to charge as revenue from the Crown. This supply is deemed to take place in the taxable period in which the bringing to charge applies.

Race bets and sports betting — s [9\(2\)\(d\)](#)

The time of supply made by TAB NZ or its agent to secure a bet is the time the money is “dealt with” under the relevant legislation; that is, the time that it is established for GST purposes that a supply has been made.

Rates demands issued by local authorities — s [9\(8\)](#)

Time of supply for rates demands issued by local authorities, or water services entities, will be the earlier of:

the date the instalment notice issued if the notice requires payment of an instalment by a particular date

the date on which the notice requires payment, or

the date on which payment is received.

Supplies where the price is not determined — s [9\(6\)](#)

Where the whole of the consideration (the price) is not known at the time of the agreement and a supply is made under the agreement before the price is determined, the supply is treated as more than one supply, with a supply treated as being made, to the extent of a part of the price, when payment is made or an invoice is issued for the part of the price (whichever is earlier).

Tokens, stamps and vouchers — s [9\(2A\)](#), [\(2B\)](#)

A supply takes place when tokens, stamps and vouchers are issued. However, if s [5\(11G\)](#) applies, the time of supply is at redemption ([132-023](#)).

Uninvited direct sales — s [9\(2\)\(b\)](#)

The time of supply is the day after the 5 working day period within which the recipient may cancel the sale (under s [36M](#) of the Fair Trading Act 1986).

Time of supply for payments basis persons for goods purchased on deferred payment terms

A person who is registered for GST on an invoice basis can usually claim a full input tax deduction in the taxable period in which the invoice is issued. They may get the timing benefit of an upfront input tax deduction even though payment might not occur until later, in a different taxable period.

However, generally, a person registered for GST on a payments basis can only claim input tax deductions when, and to the extent, that payment has been made. This general rule also applies to goods purchased under a standard sales agreement or goods purchased on a buy now, pay later basis.

QWBA, [QB 23/06 “GST – goods purchased on deferred payment terms”](#) deals with when a person registered for GST on a payments basis can claim an input tax deduction for goods purchased on deferred payment terms. Despite the general rule above, in some circumstances, a person using a payments basis may be able to claim an input tax deduction before payment takes place. The table below summarises the time of supply for payments basis persons:

Type of agreement	When input deduction can be claimed
Standard sales agreement	When and to the extent that the payment has been made
Buy now pay later agreement	When and to the extent that the payment has been made
Hire purchase agreement	In the taxable period the agreement is entered into
Layby sales agreement	In the taxable period in which property in the goods is transferred, typically after final payment has been made

These rules also apply to those persons registered on a hybrid basis because under the hybrid basis, input tax is deducted on a payments basis and output tax is returned on an invoice basis. Therefore, the input tax treatment set out in the table will apply under a hybrid basis.

Law: GST ss [9](#), [21\(3\)](#), [\(4\)](#)

Last reviewed on 31 December 2025